

REPUBLIC OF KENYA

Public Debt Sustainability Analysis

FY2022/23 – FY2029/30 | IMF LIC-DSF Framework

Public Debt Management Office (PDMO) | National Treasury | September 2026

OFFICIAL — RESTRICTED

■ **KEY FINDING:** Kenya's debt service/revenue ratio of 71.2% is more than twice the IMF stress threshold of 30%. PV total debt/GDP at 63.7% breaches the 55% anchor. Classification: **SUSTAINABLE BUT AT HIGH RISK.**

1. Executive Summary & KPI Dashboard
2. IMF LIC-DSF Scorecard
3. Stress Test Scenarios
4. Watchpoints & Policy Recommendations

1. EXECUTIVE SUMMARY

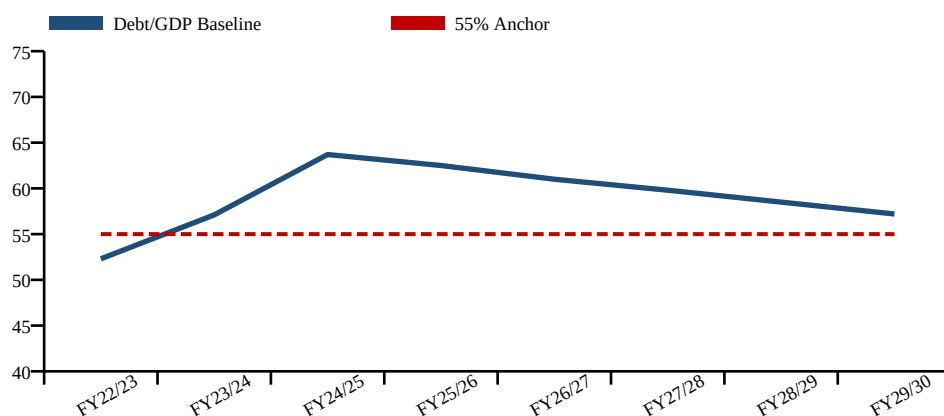
Kenya's public debt stock reached approximately **KES 6,215 billion** in FY2024/25, equivalent to **55.0% of GDP** when measured at face value, and **63.7% on a present-value basis** — breaching the IMF LIC-DSF composite anchor of 55%. The primary driver of elevated risk is not the stock level per se but the **debt service burden**: Kenya is spending **71 cents of every revenue shilling** on debt service, leaving minimal fiscal space for development and social expenditure.

The domestic portfolio carries the most acute near-term risk. Treasury bills outstanding of **KES 1.04 trillion** with an average time to maturity of only **2.7 years** create significant rollover exposure. Interest payments on the domestic portfolio alone consumed **KES 820 billion** in FY24/25. The external portfolio, while larger in nominal terms, benefits from longer maturities and concessional rates through IDA, AfDB, and IMF facilities.

Total Public Debt	PV Total Debt / GDP	Debt Service / Revenue	Primary Balance / GDP
KES 6,215 Bn	63.7%	71.2%	-2.3%
55.0% of GDP	Exceeds 55% anchor	2× above 30% threshold	Target ≥ 0% FY27/28

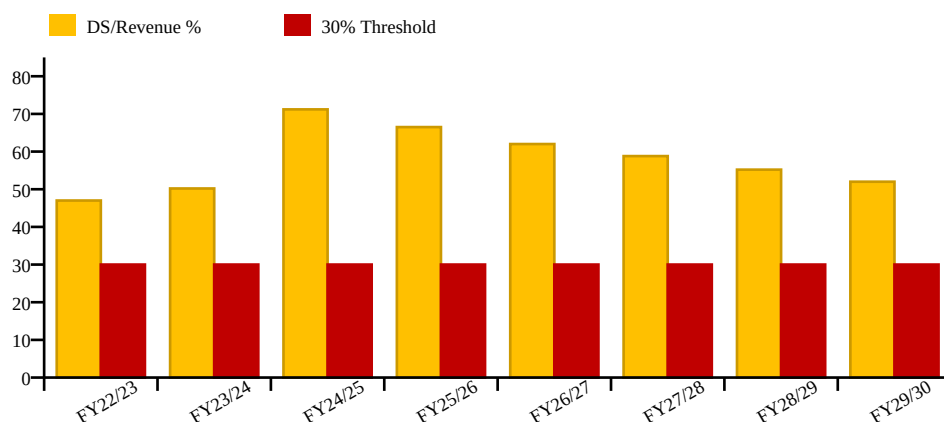
KPI Dashboard — FY2024/25 actuals. Red = threshold breach, Amber = elevated risk.

Debt / GDP Trend (FY2022/23 – FY2029/30)



Baseline debt/GDP trajectory vs 55% IMF composite anchor. Breach began FY2023/24 and persists through FY2027/28 under the baseline.

Debt Service / Revenue (FY2022/23 – FY2029/30)



DS/Revenue peaked at 71.2% in FY24/25 — more than double the 30% stress threshold. Gradual decline projected under baseline assuming fiscal consolidation.

2. IMF LIC-DSF SCORECARD (FY2024/25)

Kenya is assessed under the **Strong policy space** category of the LIC-DSF framework. Four of seven threshold indicators are in breach, confirming the *sustainable but at high risk* classification.

Indicator	FY24/25	Threshold	Status
PV Ext. Debt / GDP	28.2%	40%	✓ SAFE
PV Ext. Debt / Exports	114.3%	180%	✓ SAFE
PV Ext. Debt / Revenue	167.4%	250%	✓ SAFE
Ext. DS / Exports	36.6%	15%	■ BREACH
Ext. DS / Revenue	53.7%	18%	■ BREACH
PV Total Debt / GDP	63.7%	55%	■ BREACH
DS / Revenue (Total)	71.2%	30%	■ BREACH
Primary Balance / GDP	-2.3%	≥ 0%	■ DEFICIT

✓ Green = within safe range | ■ Red = threshold breached | ■ Amber = elevated / approaching threshold

3. STRESS TEST SCENARIOS — Debt/GDP (%)

Six scenarios are modelled through FY2029/30. The revenue shortfall scenario (Finance Bill analog) is the most adverse, pushing debt/GDP to **72.8%** by FY2029/30. The optimistic reform scenario demonstrates that the 55% anchor is achievable by FY2028/29 with sustained fiscal discipline.

Scenario	FY24/25	FY25/26	FY26/27	FY27/28	FY28/29	FY29/30
Baseline	63.7%	62.5%	61.0%	59.8%	58.5%	57.2%
Lower Growth	63.7%	66.4%	66.9%	67.3%	67.5%	67.4%
FX Depreciation	63.7%	69.2%	67.8%	65.5%	63.0%	61.0%
Interest Shock	63.7%	64.0%	63.2%	62.1%	61.0%	60.0%
Revenue Shortfall	63.7%	66.8%	68.4%	70.1%	71.5%	72.8%
Optimistic Reform	63.7%	61.0%	58.8%	56.5%	54.2%	52.0%

Amber = above 55% anchor | Red = above 65% (high risk zone)

4. WATCHPOINTS & POLICY RECOMMENDATIONS

■ Rollover Risk	T-bill stock of KES 1.04 Tn matures on a rolling short-term basis. PDMO should extend the maturity profile through pre-issuance of longer bonds and infrastructure bonds to reduce refinancing pressure.
■ Revenue Mobilisation	KRA must sustain tax-to-GDP improvements. A 1pp increase in revenue/GDP reduces DS/Revenue by ~1.4pp. Broadening the tax base and improving compliance are priority levers.
■ FX Risk Management	With external debt at ~72% of total stock, a 20% KES depreciation adds ~5.5pp to debt/GDP immediately. Active hedging and preferring KES-denominated instruments for new issuance is recommended.
■ Eurobond Liability Management	KES 780 Bn in Eurobonds outstanding. The 2027 maturity is manageable given current reserve coverage (4.2 months), but early liability management exercises should be explored to smooth the repayment profile.

■ Interest Expense Reduction	Interest payments at KES 1.15 Tn (47% of revenue) are the single largest expenditure item. Concessional borrowing from IDA/AfDB should be maximised to displace commercial borrowing at the margin.
■ Primary Balance Path	The model shows primary surplus is achievable by FY2026/27 under the baseline. Achieving and sustaining a primary surplus of +0.5% of GDP is the single most important medium-term fiscal anchor.

Source: National Treasury, PDMO Debt Bulletin, IMF Article IV Consultation (2025). Model projections are indicative and subject to revision. For official debt statistics refer to PDMO published bulletins and the National Treasury Medium-Term Debt Management Strategy.